



A Summation

“To know the art of impressing the imagination of crowds, is to know at the same time the art of governing them.”

—Gustav Le Bonn.

There are two basic questions we must ask and answer about the bull run and the bear bust. In the case of the bull market we need to know the source of the money and from where the money to fuel the boom is coming. In the case of a bear market we must know the source of information and the actor playing on insider information to depress the price.

The purpose of the chapter is to make the reader aware of the working of the system and how behaviour of different participants helps to build a bull run, which is ultimately busted due to a directly opposite behaviour from the same participants. Building a bubble is not easy as there are many variables attached. Nor is it that easy for anyone to rig the markets. Off course bubbles are much more easier to build in bull markets. Out of the many who try many of them fail and at each step the regulator becomes more learned and alert. However there is always someone waiting to beat the system. Investors must understand the workings of the stock market system and become aware of their own behavioural anomalies as well as that of others. As for the regulator it is important to be alert to every irrational or peculiar movement of stock prices.

Now we go to the last chapter of this book where we understand the paradigm of money and why investing in stocks is your gateway to achieving financial freedom.



Reference

1. Joseph O'Connor & Ian McDermott: *The Art of Systems Thinking*, Thorsons Publishers, April 1997.